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कर्मचारी भविष्य निधि संगठन
(श्रम एवं रोजगार मंत्रालय, भारत सरकार)
EMPLOYEES' PROVIDENT FUND ORGANISATION
(Ministry of Labour & Employment, Govt. of India)
मुख्य कार्यालय / Head Office
भविष्य निधि भवन, 14-भौकाजी कामा प्लेस, नई दिल्ली-110 066.
Bhavishya Nidhi Bhawan, 14, Bhikaiji Cama Place, New Delhi - 110 066.

LC-4(5)2013/Judgment

Date:-24.11.2014

To:

All Addl. Central P.F Commissioners (Zones)
All Regional P.F Commissioners
Regional Offices/Sub-Regional Offices

Sub:- Forwarding of important judgement by Hon'ble High Court of Uttarakhand in the WP NO. 1605/2011(M/S) and in similar other writ petitions between Uttar Pradesh Transport Corpn Vs Union of India & Others - regarding.

Sir,

Please find enclosed herewith a copy of the judgement dated 22.08.2014 delivered by Hon'ble High Court of Uttarakhand, in WP No. 1605/2011 and in similar other writ petitions. Emphasising the provisions contained in section 17 B of the EPF & MP Act, The Hon'ble High Court directed the petitioners to settle their own dispute with the erstwhile management of Uttar Pradesh Transport Corporation and further directed this office to recover the outstanding amount of 14-B and 7-Q either from the petitioner or from the erstwhile corporation i.e, Uttar Pradesh Transport Corporation.

2. This order is in favour of EPFO and can be made use of, while defending cases of similar nature before Hon'ble Courts.

Encl:- As Above

Yours faithfully,

(J. R. Sharma)

Addl. Central P. F. Commissioner (Legal)

Copy to:- RPFC(NDC) /Web Administrator for uploading the same on office website.

IN THE HON'BLE HIGH COURT OF UTTARAKHAND AT

NAINITAL

WRIT PETITION NO. 1605 OF 2011

(Under Article 227 of the Constitution of India)

1. Uttarakhand Transport Corporation, through
Its Managing Director, Dehradun
2. Uttarakhand Transport Corporation through
Its Regional Manager, Dehradun Region Dehradun.

Petitioners

Versus

1. Union of India through its Secretary, Sharm Bhawan,
Ministry of Labour, New Delhi
2. Regional Provident Fund Commissioner, Regional Office,
Vyom Prasth, (Kanwali), G.M.S. Road Dehradun.
3. Central Provident Fund Commissioner, 14- Bhekaji Gama
Palace, New Delhi.
4. Uttar Pradesh State Road Transport Corporation through its
Managing Director, Teri Kothi, Lucknow.
5. Employees Provident Funds Appellate Tribunal At New Delhi
through its Chairman.

Respondents

Writ Petition Under Article 227 of
The Constitution of India.

To,

The Hon'ble the Chief Justice and his other companion judges of the
aforesaid court.

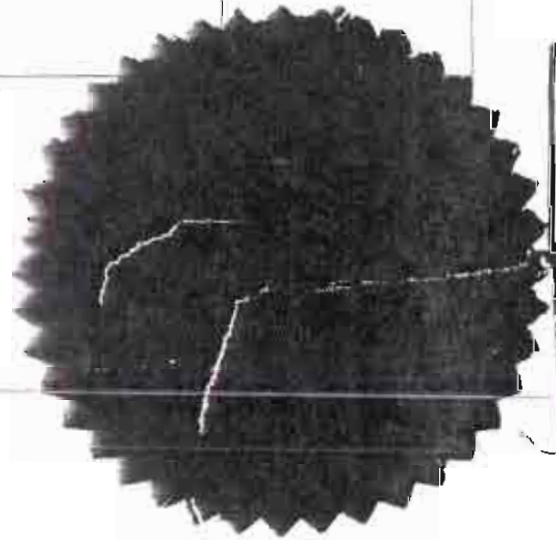
The humble Petition of the above noted petitioner most respectfully
begs to submit as under:-

- 1- That the Petitioners are aggrieved by the illegal order/judgment dated
10-6-2011 passed by the learned Employees Provident Funds

Name of Advocate: D.S. Patni

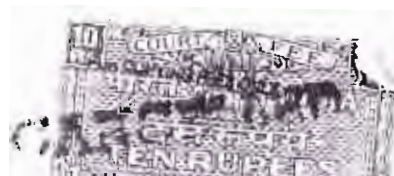
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		28.8.2014	28.8.2014



Sealed in my Presence &

27/8/14



IN THE HIGH COURT OF UTTARAKHAND AT NAINITAL

Writ Petition (M/S) No. 1452 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1605 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1606 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1607 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1672 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1673 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With

Writ Petition (M/S) No. 1674 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others
... Respondents.

With
Writ Petition (M/S) No. 1552 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1551 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1553 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1554 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1574 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1675 of 2011

Uttarakhand Transport Corporation & another
 ... Petitioners.

Vs.
 Union of India and others ... Respondents.

With
Writ Petition (M/S) No. 1732 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others ... Respondents.

With

Writ Petition (M/S) No. 1733 of 2011

Uttarakhand Transport Corporation & another
... Petitioners.

Vs.

Union of India and others ... Respondents.

Present:

Mr. Ashish Joshi, Advocate for the petitioner.

Ms. Anjali Bhargava, Standing Counsel for the Union of India/respondent
no. 1.

Mr. D.S. Patni, Advocate for respondent nos. 2 and 3

Mr. Arvind Vashisht, Advocate for respondent no. 4.

Hon'ble Alok Singh, J (Oral).

All these present writ petitions are interconnected involving identical questions of facts and law, therefore, all these petitions are heard together and are being disposed of by this common judgment with the consent of learned counsel for the parties.

To understand the controversy, facts of Writ Petition No. 1452 of 2011 are being taken into consideration.

Brief facts of the present case, inter alia, are that Uttar Pradesh Road Transport Corporation (in short, UPSRTC) was issued a show cause notice dated 7.12.2002 under Section 7Q and 14B of the Employees Provident Fund and Miscellaneous Provisions Act calling the explanation of the employer i.e. UPSRTC - As to why penalty be not imposed for depositing the contribution with

inordinate delay and as to why interest be not imposed thereon under Section 7Q of the Act? UPSRTC furnished its explanation to the effect that UPSRTC was suffering acute financial crisis, therefore, contribution could not be made within time and delay caused in making contribution was beyond the control of UPSRTC due to financial constraints. Having perused entire material placed before him, the Assistant Provident Fund Commissioner vide order dated 9.6.2003 was pleased to levy penalty and interest against UPSRTC with the direction that UPSRTC would pay the amount as per the calculation and amount shown in various impugned orders.

After the order dated 9.6.2003 was passed by the Assistant Provident Fund Commissioner, Ministry of Road Transport and Highways, Government of India was pleased to issue notification known as "Uttar Pradesh and Uttaranchal State Road Transport Corporation (Reorganization) Order, 2002" making provision that existing Corporation i.e. UPSRTC shall be deemed to have been reconstituted in the name and style of Uttarakhand Transport Corporation with effect from 27.10.2003, with further stipulation that assets and liabilities as standing on 31.3.2002 shall be divided between the existing Corporation and reconstituted Corporation as per the mutual agreement, failing which as per the arrangement made by the Central Government.

Since, Uttarkhand Transport Corporation came into existence on 27.10.2003, UPSRTC opted not to challenge the order dated 9.6.2003 before the Appellate Tribunal. Thereafter, accounts of the petitioner/Uttarakhand Transport Corporation (UTC) were seized/frozen, therefore, Uttarakhand Transport Corporation approached Employees' Provident Fund Appellate Tribunal.

Learned Tribunal, vide order dated 10.6.2011, was pleased to dismiss all the appeals so preferred by the Uttarakhand Transport Corporation having observed that financial crisis is no ground for making delayed contribution. It was further held by the Tribunal that in view of Section 17-B of the Act, liability to pay outstanding dues under the Act shall be jointly and severally, therefore, accounts of Uttarakhand Transport Corporation were rightly frozen and seized. Feeling aggrieved, Uttarakhand Transport Corporation has approached this Court by way of present petitions.

I have heard Mr. Sharad Sharma, learned Senior Advocate assisted by Mr. Ashish Joshi, learned counsel for the petitioners, Mr. Arvind Vashisth, learned counsel for UPSRTC/respondent no. 4, Mr. D.S. Patni, learned counsel for respondent nos. 2 and 4 and Ms. Anjali Bhargava, learned Standing Counsel for the Union of India/respondent no. 1.

Learned counsel appearing for the petitioner, has vehemently argued that this is not a case where earlier employer i.e. UPSRTC has

transferred the establishment in favour of the petitioner rather the petitioner was reorganised/created by the Central Government vide notification dated 27.10.2003, annexure no. 3 to the writ petition, therefore, Section 17-B of the Act cannot be pressed in service asking the petitioner to pay the outstanding amount, which was adjudicated against UPSRTC prior to creation of the petitioner corporation.

Clause 2 (d) and (g) of the Uttar Pradesh and Uttaranchal State Road Transport Corporation (Reorganization) Order, 2002 read as under :

"2) (d) "existing corporation" means the Uttar Pradesh State Road Transport Corporation established under the Act and functioning and operating immediately before the appointed day.

(g) "successor Corporation" means the constituted Corporation of Uttar Pradesh and Uttaranchal, as the case may be."

As per clause 2 (d) of the Order, 2002, "existing Corporation" means Uttar Pradesh State Road Transport Corporation functioning and operating immediately before the appointed day, while as per clause 2 (g), "successor Corporation" means the reconstituted corporation of Uttar Pradesh and Uttaranchal, as the case may be.

The combined reading of sub-clauses (d) and (g) of Clause 2 makes it clear that reconstituted corporation shall be deemed successor corporation.

Since, petitioner is a successor corporation, therefore, it can very well be said that establishment existing within the territory of Uttarakhand stood transferred to the successor corporation i.e. the petitioner. Consequently, Section 17-B was correctly pressed in service in the peculiar facts and circumstances of the case.

Since, there is a provision in the Reorganization Order, 2002 as to how assets and liabilities shall be distributed between the existing corporation and successor corporation, therefore, petitioner shall be at liberty to settle the dispute with UPSRTC in accordance with the provisions of the order/mutual consent/as per the order/direction of the Central Government.

Since power of the Provident Fund Commissioner to levy the damages and penal interest under Section 7-Q and 14-B has not been put under challenge by the petitioner except the liability of the petitioner to pay the same, therefore, this Court is not entering into the question as to whether Sections 14-B and 7-Q were rightly invoked or not. No other point is pressed before me.

Consequently, all the writ petition stand disposed of with the direction that outstanding amount can be recovered by the department either from the petitioner corporation or from UPSRTC in view of the language of Section 17-B that liability is joint or several and thereafter said corporation can settle the dispute with the other corporation in

accordance with the provisions made in the Organisation Order, 2002.

All the pending CLMAs also stand disposed of accordingly.

Let copy of this judgment be placed in all the connected writ petitions.

(Signature)
(Alok Singh, J.)
22.8.2014

Avnec/

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shp

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27/8/14
Section Office,
Criminal Section,
High Court, Bangalore
NAINITAL.